

Risk Management Strategy

Policy applicable to:

Copia Holdings	CIPL	OC	Chester
Yes	Yes	Yes	Yes

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1. BACKGROUND AND OBJECTIVES

1.1 Overview

Copia Investment Partners Ltd (CIPL) is a wholly owned subsidiary of Copia Holdings Company Ltd (Copia Holdings) (collectively referred to as **Copia**). CIPL holds an Australian Financial Services Licence (AFSL) issued by ASIC. CIPL Has appointed investment managers as authorized representatives under its AFSL.

This Risk Management Strategy (RMS) is applicable to CIPL and all authorised representatives (figure 1) (**applicable entities** or **applicable entity**).

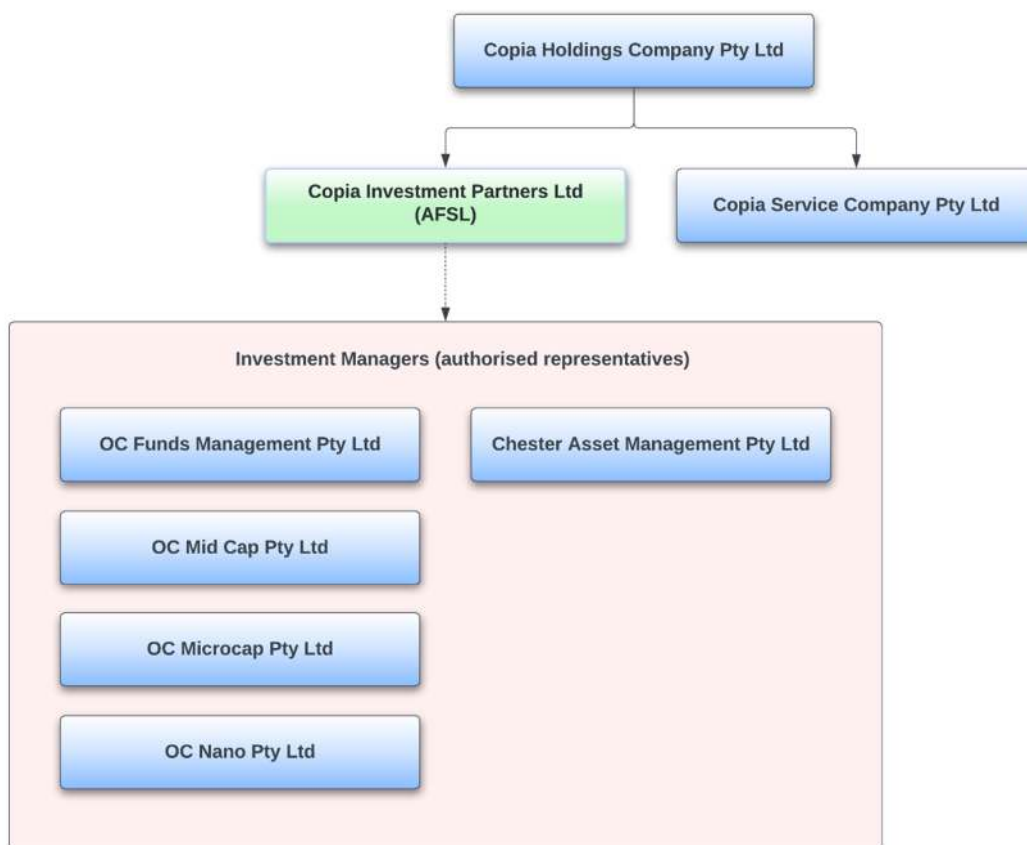


Figure 1: Copia Holdings Group Structure (blue coloured entities are authorised representatives of CIPL. Those within the pink rectangle are investment managers). This RMS applies to CIPL and its authorised representatives.

Risk management is embedded as an integral part of CIPL's normal business operations and strategy, making risk management considerations a part of the business planning process and a key responsibility of good business practice and management. The approach to risk management is not intended to eliminate risk completely, but rather to provide a sound framework to manage risk, maximize opportunity, minimise adversity and to achieve overall improved outcomes based on informed decision-making.

1.2 Objectives and definitions

The objectives of this RMS are to:

- document the measures to be adopted and implemented by CIPL to identify, monitor and manage material risks relating to CIPL's activities as an AFSL holder;

- set out and address CIPL’s risks and its risk appetite;
- report on and monitor the Risk Management Framework (RMF) [see section 2].

1.2 Definitions

Risk is the effect of uncertainty on objectives.

- An effect is a deviation from the expected and it can be positive and/or negative.
- Objectives may have different aspects (such as financial, growth goals etc.) and may apply to different levels (such as strategic, operational, product and process).

Examples of risk Copia may come across are set out in section 4 below.

Risk management is the coordination of activities to direct and control an organization with regards to risk.

Material risk is a risk which has the potential, should it eventuate, to adversely affect the interests of an applicable entity or its clients. Materiality is a subjective measure of a risk’s impact on business operations, reputation, rate of return, profitability, or net assets.

1.3 Culture

Copia fosters a strong risk management culture throughout its business. For its risk culture to be effective Copia:

- communicates with its staff about the importance of managing risks to achieve its objectives
- provides general training about risk management; and
- requires reporting of any breach of the requirements of the RMS

2. RISK MANAGEMENT FRAMEWORK (RMF)

2.1 Overview of the RMF

CIPL’s RMF includes CIPL’s Strategic and Business Plans’ objectives; this RMS; its policies & procedures; its reporting structure and internal controls.

The purpose of the RMF is to assist CIPL in integrating risk management into significant activities and functions. Framework development encompasses integrating, designing, implementing, evaluating and improving risk management across the business.



Figure 2: Risk management framework components

2.2 Risk Management Principles

In the conduct of its risk management CIPL is guided by and will strive to achieve the following:

- an embedded RMF culture at all levels of the business
- continuing monitoring of the effectiveness of its RMF
- applying risk management in key decision making
- risk management based on the best available information

2.3 Scope of the RMS and material risk

CIPL monitors and manages material risks that arise in relation to its financial services business.

CIPL considers and applies the definition of material risks as noted in subsection 1.3.

In determining the materiality of a risk, CIPL not only considers its potential consequences or impact, but also the likelihood of the risk event occurring. The risk classification methodology is detailed in **Appendix 1**.

2.4 Risk identification & assessment

CIPL's Risk Register sets identified material risks that are relevant to its business operations.

2.5 RMS & business planning

CIPL recognises that its RMF and strategy and objectives must continue to be developed within the context of its strategic and annual business planning cycles to ensure congruency between business goals and risk management.

The Business Strategy is linked to the RMF and business key performance indicators (**KPIs**). Business KPIs and risks are monitored regularly by the board.

2.6 Risk Appetite and tolerance

The Board has developed its Risk Appetite Statement (**RAS**) Appendix 2. The RAS outlines CIPL's attitude towards risk including the amount of risk it is willing to take to pursue its strategic objectives.

2.7 Governance and responsibilities

Oversight and responsibility of risk management is undertaken by the Board and its senior management and is supported by the risk management organisation structure. The Reporting structure and key responsibilities are outlined below:

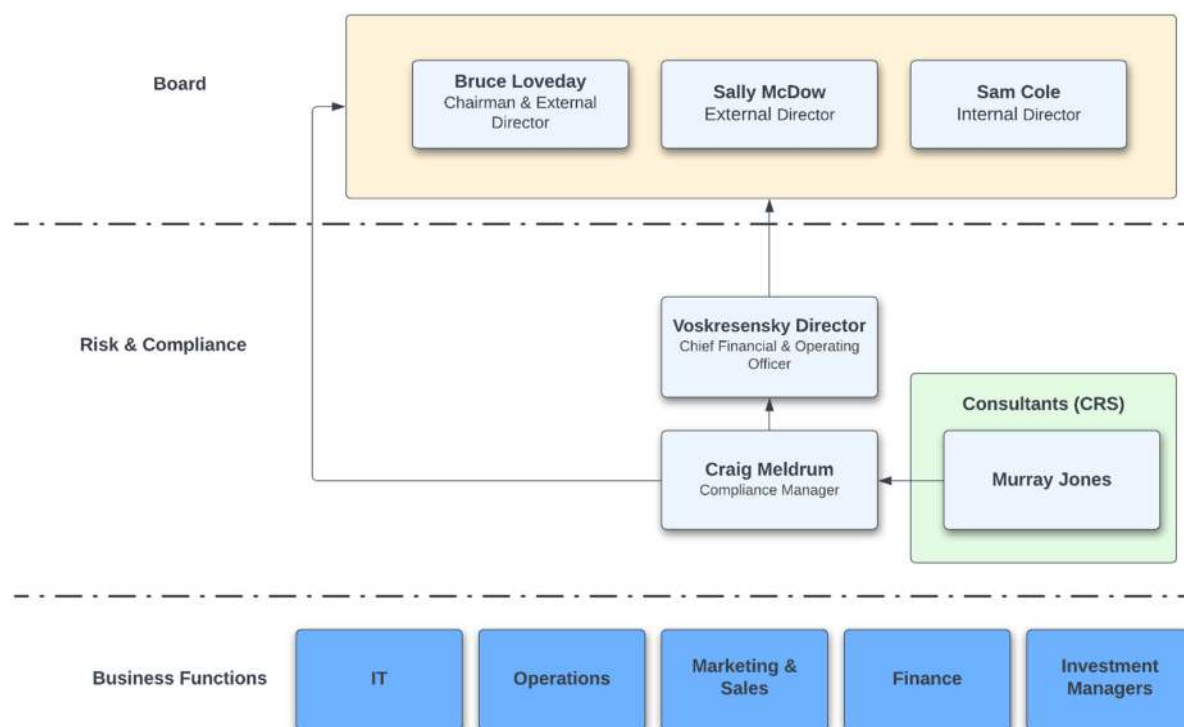


Figure 3: CIPL – governance and Board reporting

The following key responsibilities and roles are important for the effective management of CIPL’s RMF:

Body	Responsibilities
CIPL Board	• Primary responsibility for the RMF • Responsibility for setting the risk appetite • Provide oversight and guidance over the RMF including assessing key risks & approving risk treatments • Promote a culture of risk management that is embedded in CIPL’s business activities
Senior management	• Monitor keys risks as they relate to their area of responsibility • Participating in the risk workshops and informing the Compliance Manager of emerging risks • Ensure controls are in place to mitigate key risks • Assist in implementing treatment actions for material risks • Attend any training session on risk management • Promote a culture of risk management that is embedded in CIPL’s business activities
Compliance Manager	• Responsibility for implementing & maintaining the RMF • Maintaining the risk register • Reporting to the board on risk management • Conducting risk workshops • Promoting an effective risk culture
Staff	• Responsibility for being risk aware, in effective discharge of their duties • Adherence to internal controls and compliance related matters & those relating to risk management • Attend any training session on risk management

3. RISK MANAGEMENT PROCESS

The risk management process involves the systematic application of policies, procedures and practices to the activities of communication and consulting, establishing the context and assessing, treating, monitoring reviewing, recording and reporting risk. The process is summarised below.

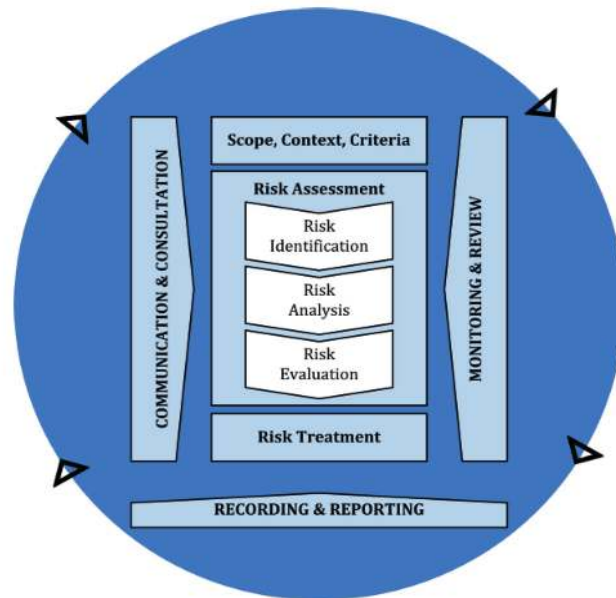


Figure 4: The risk management process

Establish the Context

This involves understanding what the business wants to achieve and its objectives, and the internal and external environments in which it operates, including the risk appetite.

Risk assessment

Risk assessment comprises the following three elements:

1. **Risk identification** is the overall process of finding, recognising and describing risks. This process involves the participation of the Board, senior management and staff of CIPL
2. **Risk analysis** is the process to comprehend the nature of the risk and to determine the level of the risk.
3. **Risk evaluation** involves comparing the results of the risk analysis with the established risk criteria to determine where additional action is required.

Risk treatment

This part of the process involves reviewing each risk that is not acceptable to determine the risk treatment to bring the risk within CIPL's tolerance.

Risk recording and reporting

The risk management process and its outcomes are reported through appropriate mechanisms at regular intervals.

Risk monitoring and review

The risks and controls are regularly reviewed to ensure effective management and appropriate escalation of the risks.

Communication and consulting

Copia considers consulting and communicating with key stakeholders an important part of its risk management process.

4. CATEGORIES OF RISK

In developing its RMS, CIPL considers the following key categories of risk. The risks are recorded in CIPL's risk register.

Governance risk is any risk that threatens the ability of CIPL to make reasonable and impartial business decisions in the best interest of its clients.

Strategic risk involves the risk that CIPL may fail to achieve the stated objectives and goals of its strategic business plan.

Financial risk and liquidity risk refers to the risks that CIPL's cash flows and /or assets will not be adequate to meet financial obligations and for it to remain a going concern.

Regulatory risk refers to the risk from non-compliance with laws, regulations & internal policies

Fraud risk entails intentional misconduct (internal & external) that could lead to theft of CIPL's or its client's assets or information.

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and technological systems, or from external events.

Outsourcing risk is the risk that the following CIPL's key outsourced services do not deliver the requirements of their Service Level Agreements and includes:

- Investments management risks
- Custody and administration risks

Other risks include risks that are not included in the above categories (such as business continuity, disaster recovery, people and industry risks etc.,) are covered in this category.

5. RISK CLASIFICACION METHODOLOGY

In assessing the risks associated with its business, CIPL uses a qualitative and quantitative approach which describes the likelihood that a risk may occur and the magnitude of any potential consequences. The process for the assessment and rating of risks is outlined in **Appendix 1**.

6. TARGET RISK RATINGS AND TREATMENT PLAN

The perceived gaps between the residual risk and the target risk rating are identified and treatment plans are developed for material risks to bring the risk within the tolerance and the board's appetite. The treatment actions are recorded as part of the risk register.

7. RISK REGISTER

A risk register is maintained and updated as required. The risk register includes all identified material risks.

Risk workshops are conducted periodically to capture new/emerging risks and address any changes in risk ratings.

When the risk report is presented to the board the top risks of the business are discussed to confirm if any changes are required to existing risk rating or if new emerging risks are to be added to the risk

register. In addition, should there be a change in business operations or in the environment that CIPL operates in or a breakdown of mitigating risks controls, this may lead to changes to the risk register.

8. INTERNAL OVERSIGHT AND MONITORING

Material risks and their controls are identified, monitored and reported via the following mechanisms:

- Review of risk register & risk assessments
- Controls assurance system
- Audits
- Training and awareness
- Regular reporting

9. REPORTING

Reporting on the RMF and risks identified is done through regular reports to the Board by the Compliance Manager.

10. REVIEW & AMENDMENT OF THE RMS

Any amendments to the RMS must be approved by the Board.

11. BREACH REPORTING

Any breach to the RMS will be reported in accordance with CIPL's Incident & Breach Handling Policy.

APPENDIX 1 - RISK CLASSIFICATION METHODOLOGY

Once the risks are identified in the risk register steps 1-4 should be followed to rate the risks:

- Step 1 Inherent risk rating**
- Step 2 Control impact rating**
- Step 3 Residual risk rating**
- Step 4 Risk rating and management action**

Step 1 – Inherent risk rating

Consequences

- List the consequence(s) factors (F1- F5, using the Risk Consequence **Table 1**) of the risk occurring as if the controls for that risk were not there.
- Inherent Risk Consequence assessment - where a risk has more than one category of a consequence, the consequence assessment rating must be based on the highest consequence category (at the very least the financial loss consequence must be assessed and reported for all risks).

Likelihood

Inherent risk likelihood assessment - List the inherent likelihood (using **Table 2**) of the risk occurring in the next twelve months as if the controls for that risk were not there using the likelihood descriptions in the Risk Likelihood Table.

Inherent risk rating

Inherent risk assessment (rating) - using the results of the inherent likelihood and consequence determine the inherent risk rating (using **Table 3**).

Table 1 - Risk consequence table

	Consequence category				
Consequence factor	Insignificant	Minor	Medium	Major	Severe
F1 Financial impact	\$ 0 – 50,000	\$50,001 – 100,000	\$100,001 – 500,000	\$ 500,001 – 1,000,000	>1,000,000
F2 Client Service impact	> Insignificant complaints about service > Impact absorbed through normal operations	> Minor complaints. > Require some management effort to resolve through normal operations	> Significant complaints about service and/or inability to provide acceptable service levels > Require considerable management effort to resolve through normal operations	> Significant number of clients affected. > Require high level of concentrated management effort but can be managed. > Risk adversely affects the interests of clients > Board involvement in remediations. - Compliant lodged with AFCA	> Multiple clients affected. > Impacts immediate and continued viability of operation > Compliant lodged with AFCA with significant financial loss expected
F3 Compliance & regulatory impact	> Minor ad-hoc breaches, no regulatory involvement > No perceivable impact where the compliance failure is detected	> Minor & non-systemic breach of regulatory obligations > Copia would generally be left to manage its own rectification with minimal action from	> Minor & systemic breach of regulatory obligations > Copia would generally be left to manage its own rectification with minimal action from the regulator	> Significant systemic breach of regulatory obligations. > Restrictions on licence to operate. > Significant regulatory intervention/enforcement action. > Executive & management involvement in remedial action.	> Serious & systemic breach of regulatory obligations > Cancellation/suspension of licence which affects the going concern of the business > Significant regulatory intervention/enforcement action > Board involvement in remediation

	Consequence category				
Consequence factor	Insignificant	Minor	Medium	Major	Severe
		the regulator		> Obligations to key stakeholders impacted	> Multiple stakeholders impacted
F4 Reputation impact	> No media/social coverage > Customer complaints within 'normal' levels	> Limited local media coverage > Marginal client complaints	> Limited national media coverage > Large increase in client complaints > Clients lost	> National media coverage and significant social coverage > Significant senior management involvement in remedial action > Significant increase in customer complaints	> Significant national media coverage and significant social coverage > Board involvement in remedial action > Significant increase in customer complaints > Large scale client loss leading to going concern for the business
F5 Health & safety	Very minor injury	Self-medication or local first aid required	Treatment by doctor required	Temporary disability or impairment to one or more persons	Severe irreversible disability to one or more persons

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Table 2 - Risk likelihood table

Likelihood	Description
Almost certain (the risk is expected to occur in the next 12 months)	- The risk event will occur in most circumstances - The event has happened in the past and no controls have been implemented to mitigate - Unavoidable, it will happen - If additional controls are not put in place it is expected to occur in most circumstances
Likely (the risk is expected to have a 1 in 2 chance of occurring in the next 12 months)	- The risk event will probably occur in most circumstances - While existing controls are in place this event will occur with some certainty
Possible (the risk is expected to have a 1 in 10 chance of occurring in the next 12 months)	- The risk event should occur in some circumstances - The event has already occurred in the industry
Unlikely (the risk is expected to have a 1 in 100 chance of occurring in the next 12 months)	- The risk event could occur in some circumstances - The event has not occurred, it could occur in some circumstances
Rare (the risk is expected to have a 1 in 1000 chance of occurring in the next 12 months)	- A very small chance that the event could occur, that could be caused by a financial crisis, poor market or operating conditions or events not previously seen - The event may occur in exceptional circumstances

Table 3 - Inherent risk rating matrix

	Consequence				
Likelihood	Insignificant	Minor	Medium	Major	Severe
Almost certain	Medium	High	High	Severe	Severe
Likely	Medium	Medium	High	High	Severe
Possible	Low	Medium	Medium	High	High
Unlikely	Low	Low	Medium	Medium	High
Rare	Low	Low	Low	Medium	Medium

Step 2 - Control impact rating

Controls must be evaluated by effectiveness in reducing the likelihood of an event occurring or indeed the effect on reducing the consequence; and thus the overall effect on reducing the inherent risk.

Analysing control effectiveness requires consideration of the benefits to be derived in applying the control. In understanding the impact of the control on the likelihood and overall level of risk **Table 4** provides broad descriptions of control effectiveness where controls represent usual processes and procedures that are applied by the business in usual circumstances.

List all key controls in place in the risk register that would have an effect of mitigating the risk

Using the Control Impact Rating **Table 4**, rate the effectiveness of the controls in place

Table 4 - Controls impact rating table

Control effectiveness	Description
Effective	The controls in place are effective in reducing the level of inherent risk and the risk has not occurred or is managed well
Partially effective	The controls in place are weak and are not effective in reducing the level of inherent risk
Ineffective	As controls not in place the level of inherent risk cannot be reduced The risk has occurred multiple times, the impact and/or frequency exceeded that expected by the residual risk rating

Step 3 - Residual risk assessment & rating

Residual risk consequences assessment – using **Table 1** list the consequence(s) of the risk after considering the effectiveness of the existing controls and arrive at the residual consequence risk rating.

Residual risk likelihood assessment - using **Table 1** list the residual likelihood of the risk occurring in the next twelve months after considering the effectiveness of the existing controls using the likelihood descriptions in the Risk Likelihood Table.

Residual risk assessment (rating) - with reference to **Table 2** and using the results of the residual likelihood and consequence determine the residual risk rating

Step 4 - Risk rating & management action

For residual risks that are not within the risk appetite of the board develop implement treatment actions to reduce the risk rating to an acceptable level.

APPENDIX 2 - RISK APPETITE STATEMENT

Risk appetite

Risk appetite is the degree of risk Copia's board is prepared to accept in pursuit of its strategic objectives.

Risk appetite documentation

A risk appetite has been documented (in the CRS-Certus system) for strategic objectives recorded in Copia's strategic plan. Each appetite statement provides a description of the boundary on the risk Copia is willing to take in pursuing its objectives.

The risk appetite statements will be associated with the risks recorded in the risk register. These statements will be used to inform the maximum level of risk the business is willing to operate within expressed as a risk limit.

Risk Limit and Tolerance

A **risk limit** reflects the level of risk realisation that may be tolerated before having to implement a risk treatment plan. A risk limit should reflect an element that may be measured e.g. ratio of client complaints to total clients.

Risk limits are set after considering relevant risk mitigants. A risk limit set in this way is called **risk tolerance**. A tolerance limit will be set for each tolerance.

The process for ensuring that risk tolerances are set at an appropriate level will be based on the estimation of the impact on the interests of clients (including unit holders) if a risk tolerance is exceeded. The relationships between strategic objectives, risk appetite statements, risk and risk tolerances are shown below:

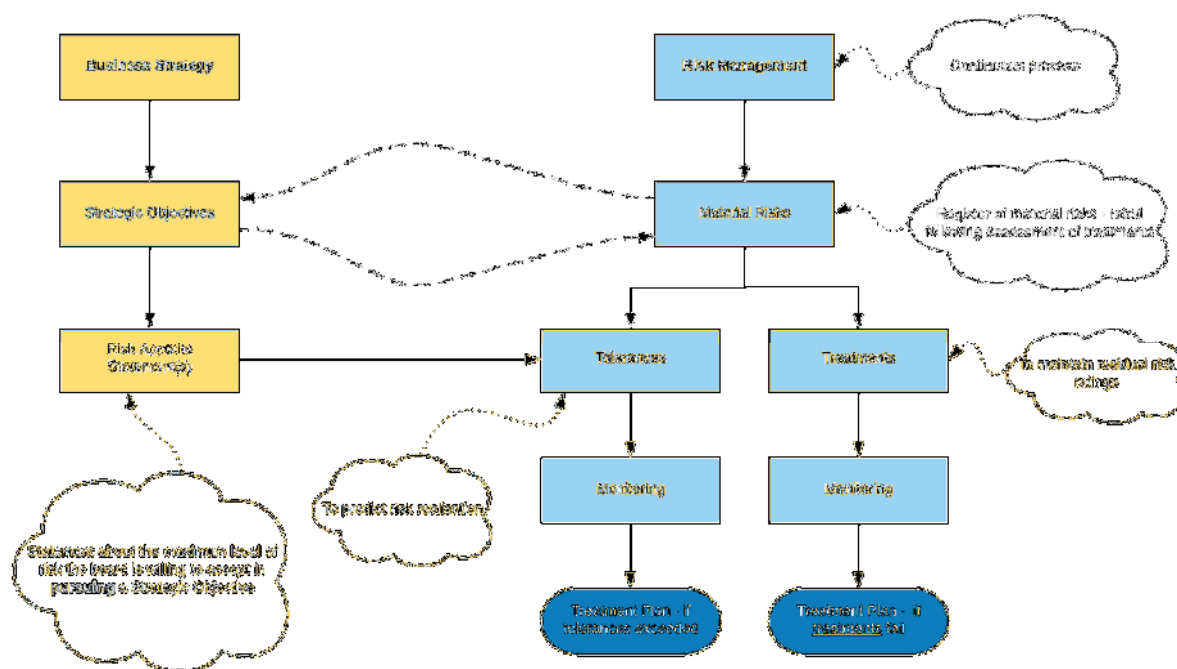


Figure 5: Relationship between strategic planning and risk management

APPENDIX 3 - RISK REGISTER

The Risk Register forms part of the RMS. However, these are separate working documents.